

60-Year **Policy Timeline**

How federal policy, financial crises, and exponential technology reshaped American higher education — from 1965 to 2025.

The Foundation Era

Federal investment builds the modern higher education system

) **1965**

Higher Education Act creates federal student loans and grants, opening college doors to millions of Americans for the first time. Lyndon Johnson signs it as part of the Great Society.

POLICY

) **1972**

Pell Grants created — the cornerstone of federal student aid. Named after Senator Claiborne Pell, these grants provide need-based funding that doesn't need to be repaid.

POLICY

) **1978**

Middle Income Student Assistance Act expands federal loan access beyond low-income families to middle-class students, dramatically increasing the eligible pool of borrowers.

POLICY

The Cost Spiral Begins

State funding retreats while the Bennett Hypothesis predicts what's coming

) 1980

Recession hits state budgets — the first wave of state funding cuts to public universities. The pattern that will define the next four decades begins: states cut, universities raise tuition.

CRISIS

) 1987

William Bennett publishes the Bennett Hypothesis: increases in financial aid enable colleges to raise tuition. "Federal student aid policies have made it easier for colleges to raise their tuitions." The debate rages to this day.

CRISIS

The Debt Machine

Loan expansion + bankruptcy protection = an industry with no price discipline

) 1992

Student loan limits raised, unsubsidized loans created. Students can now borrow regardless of need — a blank check that removes any remaining price ceiling on tuition.

CRISIS

) 1998

Bankruptcy reform makes student loans nearly impossible to discharge. Unlike credit card debt, mortgages, or business loans, student debt follows you forever.

CRISIS

) 2005

Bankruptcy Abuse Prevention Act makes ALL student loans — including private — completely non-dischargeable. Lenders now face zero risk. The lending spigot opens wide.

CRISIS

 Technology Deflation Begins

While education costs rise, technology costs start their exponential decline

) **2003**

Human Genome Project completed at a cost of ~\$2.7 billion. Genome sequencing will follow a deflation curve: \$100M → \$1M → \$1,000 → \$100 by 2025 — faster than Moore's Law.

TECHNOLOGY

) **2008**

Financial crisis devastates state budgets. Public universities face their deepest funding cuts ever. Students absorb the difference: average tuition jumps 15% in two years.

CRISIS

) **2010**

Health Care and Education Reconciliation Act switches federal lending to direct lending, eliminating bank middlemen. Saves ~\$60B over a decade. **Solar crosses \$1/watt** — a technology cost milestone that will accelerate the deflation narrative.

INFLECTION

) **2012**

Student debt crosses \$1 trillion for the first time — surpassing credit card debt. The average graduate carries \$29,400 in loans. The crisis enters mainstream consciousness.

CRISIS

 The AI Inflection

Artificial intelligence begins its exponential cost decline

2016

AlphaGo defeats Lee Sedol, signaling AI's arrival as a transformative technology. AI inference costs begin an exponential decline that will eventually make knowledge work nearly free.

TECHNOLOGY

2020

COVID-19 accelerates online learning by a decade overnight. Every university goes remote. The myth that education requires physical presence cracks. Students question what they're actually paying for.

INFLECTION

2023

Supreme Court strikes down Biden loan forgiveness. The political system fails to address the \$1.77T crisis. Meanwhile, **GPT-4 costs \$30/M tokens** — expensive, but the exponential decline has begun.

INFLECTION

The Convergence

Technology deflation meets education cost inflation

2025

The convergence arrives. AI threatens traditional degrees. Genome sequencing costs \$100 (from \$2.7B). Token costs fall to \$0.05/M (from \$30/M in 2023). Average education costs \$10,753/year — still climbing. The question is no longer *if* technology disrupts education, but *how fast*.

FUTURE

Data sources: NCES IPEDS, College Board, Federal Reserve Bank of New York, Bureau of Labor Statistics, SHEEO, OECD, Federal Student Aid, NHGRI, IRENA, Lazard, OpenAI, Backblaze.